

The China Lobby and The China Shock*

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Abstract

Despite concerns about China's trade practices, labor practices, and human rights practices, U.S. Congress repeatedly voted to extend MFN status to China throughout the 1990s, catalyzing the "China Shock" and hastening the decline of American manufacturing. Why? We argue that legislators voted in favor of free trade with China in response to pressure from the domestic China Lobby: U.S. firms, primarily large multinationals, that had developed substantial export and investment ties with China since commercial relations resumed in 1979. Using newly collected data on thousands of firm-level trade and investment deals during the 1980s and 1990s, we show that legislators with more China-linked firms in their districts are substantially more likely to vote in favor of free trade with China. We also use novel data on firm-level support for Permanent Normal Trade Relations with China (PNTR) to document that support overwhelmingly comes from firms that *export to* and *invest in* China. The results contribute to our understanding of the domestic politics of trade and interest groups, and demonstrate the outsized influence of multinational firms in trade politics.

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1 Introduction

In the 21st century, few political acts have been as consequential as the U.S. decision to extend permanent normal trade relations (PNTR) status to China in 2000, guaranteeing Beijing's continued access to MFN tariff rates and paving the way for its accession to the World Trade Organization. While American consumers have benefited from lower prices (Jaravel and Sager, 2026), the ensuing influx of Chinese imports led to the "surprisingly swift" decline of U.S. manufacturing employment, particularly in sectors most affected by PNTR (Autor, Dorn and Hanson, 2013; Pierce and Schott, 2016). In turn, trade-linked manufacturing layoffs created support for right-wing (Baccini and Weymouth, 2021), populist (Ballard-Rosa, Jensen and Scheve, 2022), protectionist (Feigenbaum and Hall, 2015), and extremist political candidates in affected regions (Autor, Dorn, Hanson and Majlesi, 2020), catalyzing the election of Donald Trump in 2016. At the same time, China's accession to the WTO has not had the liberalizing effect that PNTR supporters hoped for; as China's economy has grown larger, the CCP has grown its repressive apparatus and continued the trade practices that drew criticism from the U.S. prior to the PNTR era.¹ These effects have combined to produce intense geopolitical competition between the U.S. and China.

Why, then, did U.S. Congress vote to award PNTR status to China? It is not as if the potential negative consequences were unforeseen. American labor unions were sounding alarm bells about the labor market impact of (P)NTR² with China throughout the 1990s,³ a message amplified by prominent political allies including Rep. Nancy Pelosi.⁴ A much-

¹See "What Happened When China Joined the WTO?" *Council on Foreign Relations*, 6 February 2025.

²We use the term "(P)NTR" to refer to both (1) Normal Trade Relations with China, which were in force since 1979 but challenged annually from 1990-2000, and (2) Permanent Normal Trade Relations with China, established by the bilateral trade deal in 2000. Both had the effect of giving China MFN status, first temporarily and then permanently.

³See e.g. Mann, Jim, "AFL-CIO to Fight Renewal of China Trade Benefits" *Los Angeles Times*, 14 April 1994; Helm, Mark, "China critics won't give up fight for rights; U.S. expected to renew trade status, but legislators and unions vow to keep debate open" *San Francisco Examiner*, 22 July 1998.

⁴For example, in 2000 Pelosi gave an impassioned anti-PNTR speech at a UAW rally in DC. See <https://education.cfr.org.../pelosi-on-china-trade-2000>.

cited 1999 report from the U.S. International Trade Commission estimated that PNTR was likely to increase the bilateral trade deficit substantially and lead to a decline in U.S. manufacturing employment (USITC, 1999). Even among those who supported PNTR on economic grounds, there was broad skepticism that increased commerce with democracies would lead to China's own democratization; in 2000, conservative journalist Robert Samuelson predicted that, given a choice between honoring its WTO commitments and maintaining its fundamental economic and political models, China would choose the latter.⁵

We argue that one interest group played an outsized role in driving support for PNTR: the corporate *China Lobby*. In the years following the re-opening of U.S.-China commercial relations in 1979, a number of American firms developed substantial export and investment relationships with China, seeing its potential as a massive consumer market and an ideal manufacturing center. These firms—among them powerful multinationals like Boeing, Coca-Cola, Microsoft, and AIG—had every incentive to push for PNTR. If it passed, they would be rewarded with greater access to the Chinese market and perpetually low tariffs when bringing their China-made products back into the U.S. market. If it failed, China threatened to hand all of its business to the firms' European competitors instead, wiping out decades of hard-won progress.⁶ As a result, between the individual efforts of U.S. corporates and the collective action of groups like the U.S.-China Business Council and the Business Coalition for U.S.-China Trade, the China Lobby spent over \$100m to influence the outcome of the vote.⁷

Why was the China Lobby composed primarily of exporters and outward investors, given that the primary effect of PNTR was to increase the volume of cheap Chinese imports to the U.S.—to the great benefit of importers in the retail trade industry?⁸ We argue

⁵Samuelson, Robert J., "Overselling the China Deal," *The Washington Post*, 24 May 2000.

⁶See Unkovic, Dennis, "The Price of a Rebuff: How Business Types in China Look at the U.S. Debate Over Permanent Normal Trade Relations," *Pittsburgh Post-Gazette*, 19 May 2000.

⁷See "Purchasing Power: The Corporate-White House Alliance to Pass the U.S.-China Trade Bill Over the Will of the American People," *Public Citizen*, October 2000.

⁸See Nair, Bernstein and Zeckhauser (2023).

that the former had a more politically palatable narrative than the latter. While promoting exports and outward FDI were seen as legitimate goals of trade policy, with much-discussed links to domestic employment and growth, lowering import prices for consumers was not; if anything, such a narrative would highlight the low wages and weak labor regulations in China, sparking fears of offshoring and job loss. The firms that could most successfully persuade legislators were those that could make the case that PNTR would expand U.S. market share in China, rather than the converse.

To examine the influence of the China Lobby empirically, we collect new data on thousands of firm-level trade and investment deals between U.S. firms and China during the 1979-2000 period. These data come from digitizing 185 back issues of the *China Business Review* (CBR), a publication of the U.S.-China Business Council, which collected and summarized all corporate press releases it could find regarding China's international commerce. We geocode the headquarters locations of all U.S. firms listed in these deals and match them to congressional districts, allowing us to determine the shifting economic and political geography of U.S. firms with ties to China.

Did China-linked firms influence congressional voting on (P)NTR? We find that they did: across 9 House votes regarding normal trade relations with China from 1993-2000, we find that as congressional districts increase their commercial links to China—whether through new business from existing firms in the district, or through changing district boundaries that add already-linked firms to the district—legislators become significantly more likely to vote in favor of (P)NTR. The magnitudes are substantial: a one standard deviation increase in the number of FDI deals in a district leads to a 8.5pp increase in the probability that a legislator votes for (P)NTR. These results are robust to controlling for a wide range of potential confounders, including total manufacturing employment, retail employment, and average wages.

To demonstrate that the China Lobby was indeed composed of firms with pre-existing export and investment links to China, we match the firms from the CBR data to two lists

of PNTR lobbyists: first, the official list of 451 PNTR-supporting firms compiled by the White House China Trade Relations Working Group; second, the list of firms that reported federal lobbying on trade in the early 2000s (Kim, 2017). We find overwhelming evidence that China-linked firms dominate the China Lobby: China-linked firms make up 56% of the PNTR supporters list despite constituting just 3.5% of all publicly-traded firms. Further, while China-linked firms are more likely to engage in federal trade lobbying in all years, they are disproportionately more likely to do so in 2000 when PNTR was being voted on.

By documenting the forces that led the U.S. to liberalize trade with China, we provide the first rigorous attempt to explain the political origins of the “China Shock” (Autor, Dorn and Hanson, 2013). China’s inundation of the U.S. market with underpriced goods during the 1990s and 2000s hastened the decline of U.S. manufacturing and the regions that relied on it, creating a wide range of political consequences (Autor, Dorn, Hanson and Majlesi, 2020; Baccini and Weymouth, 2021; Ballard-Rosa, Jensen and Scheve, 2022; Feigenbaum and Hall, 2015; Feler and Senses, 2017). PNTR in particular played a direct role in enabling the trade shock by guaranteeing stable U.S.-China liberalization in sectors where it was once uncertain: Pierce and Schott (2016) show that U.S. manufacturing employment declined the most after PNTR in the sectors that *would have* faced the highest tariffs had China’s MFN status been revoked. Bombardini, Li and Trebbi (2023) find that U.S. congresspeople *did* foresee the likely labor market effects of PNTR, but they placed a low weight on their importance; our work suggests that they instead placed a greater weight on supporting domestic exporters and MNEs.

We also contribute to a long literature on trade politics, inspired by “New New Trade Theory,” that suggests that MNEs across industries should benefit from—and thus lobby in favor of—free trade (Baccini, Pinto and Weymouth, 2017; Kim, 2017; Melitz, 2003; Madeira, 2016; Osgood, 2017a; Zhang, 2025). Our findings both support and qualify this conclusion; we show that MNEs were indeed the largest pro-PNTR interest group, but

specifically MNEs that had already established ties with China. These firms constitute a smaller group than the universe of U.S. MNEs, making collective action more feasible; further, thanks to the fixed costs of establishing investment and trade links abroad—which are particularly high in China due to bureaucracy—these incumbent firms have a greater stake in bilateral trade policy. When determining firms’ trade preferences, scholars should consider not only multinational status but the *location* of a firm’s investment portfolio.

Finally, we contribute to the study of lobbying by considering how public opinion conditions legislators’ ability to entertain certain types of arguments from interest groups. Lobbying literature often focuses on the preference alignment between interest group and policymaker; it is assumed that lobbying can influence policy as long as the interest group can shift the policymaker’s ideal point (or increase the budget of an already aligned policymaker). However, policymakers often need to justify their votes to constituents, at least on salient topics. Even a lobbying appeal that a policymaker might personally find convincing (“PNTR will let us import low-priced Chinese products, lowering prices for goods sold in your district”) might not sway their vote if they know that their electorate wouldn’t find it convincing, while a different argument for the same outcome (“PNTR will let us grow our U.S. business by expanding revenue from Chinese exports”) may be successful. The conjecture that *public defensibility* matters for lobbying influence, even holding constant the policy preferences of both interest group and policymaker, might help to explain the finding that firms lobby much less than we imagine that they might like to ([Kerr, Lincoln and Mishra, 2014](#); [Liao, 2023](#)).

2 Background: U.S.-China Commercial Relations, 1979-2000

While the history of U.S.-China commerce dates back to the 18th century, commercial exchanges ceased almost entirely for three decades following the establishment of the People’s Republic of China in 1949 and the ensuing U.S. embargo ([Allen, 2021](#)). Deng Xi-

aoping's domestic reforms led to the reestablishment of U.S.-China diplomatic and commercial relations in 1979, to the great excitement of the private sector: "The American corporate approach to China in 1979," wrote Ambassador Craig Allen (2021), "was reminiscent of the Gold Rush of 1849." Tantalized by the prospect of selling to the world's largest consumer market—and producing goods in the world's largest labor market—U.S. firms rushed to China in spite of the considerable risks involved.⁹ U.S. exports to China quickly amounted to billions of dollars, outvaluing U.S. imports from China until the late 1980s (Devereaux, 2006), and foreign direct investment through joint ventures grew rapidly as well.¹⁰

The politics of U.S.-China commercial relations were shaped by Section 402 of the Trade Act of 1974 (the Jackson-Vanik amendment), which prohibits the extension of MFN status to any country that prevents its citizens from emigrating—a category that includes China. While the President has the authority to waive this restriction for individual states, the waivers must be reauthorized annually.¹¹ China's waiver was renewed without controversy throughout the 1980s, but this changed after the Tiananmen Square Massacre in 1989. The event highlighted the continued totalitarianism of the Chinese state, its disregard for human rights, and the incompleteness of Deng's domestic reforms. It drew harsh condemnation even from China's closest allies: the U.S.-China Business Council, the foremost interest group of the U.S. China Lobby, resolved that "[t]he commercial and economic relations between the United States and China... have been disrupted and could suffer long term damage."¹²

Tiananmen Square mobilized U.S. congressional opposition to the President's annual

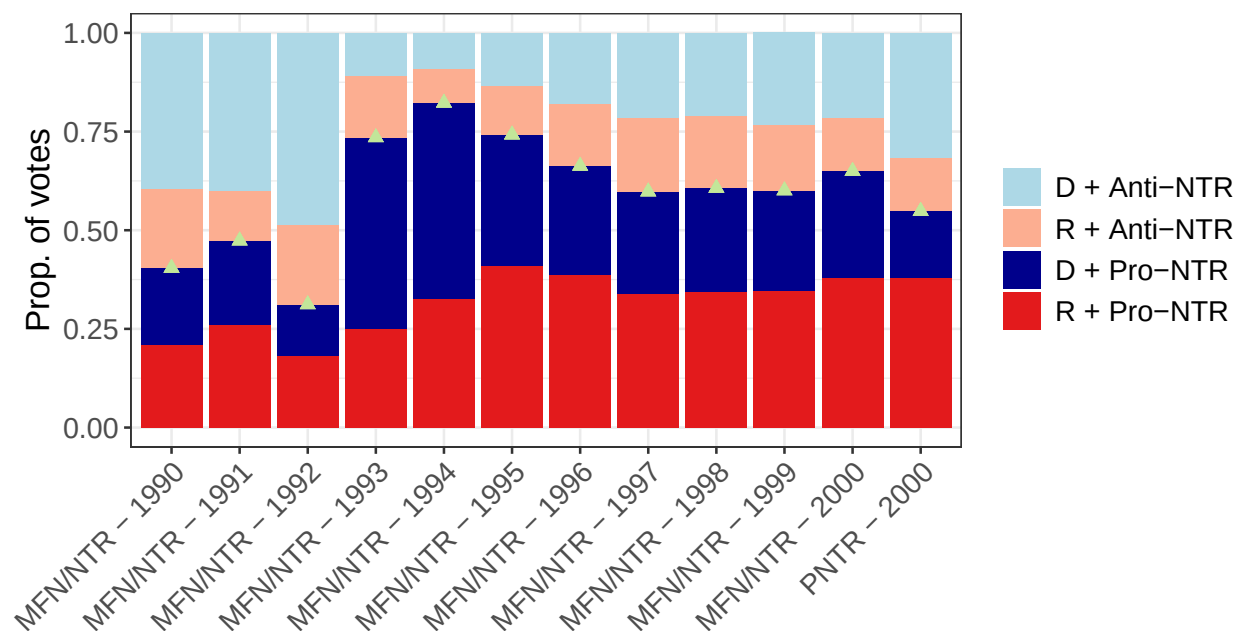
⁹Former Director of China Operations for Otis Elevator Company, Steven Hendryx, wrote in 1986 that "investing in a joint venture in the People's Republic of China is tantamount to courting disaster." See Hendryx, Steven R., "The China Trade: Making the Deal Work," *Harvard Business Review*, July 1986.

¹⁰Further, a great deal of pseudo-FDI took place in the form of "cooperation agreements" between U.S. firms and Chinese entities. In such an arrangement, the U.S. firm would pay for the construction of a factory, equipment, and the training of its workers, in exchange for an exclusive contract to purchase the factory's output at an agreed-upon markup. See e.g. Xunxian, Liang, "China's Machine Tool Industry," *China Business Review*, Nov-Dec 1981.

¹¹See Trade Act of 1974, Pub. L. No. 93-618, 88 Stat. 1978.

¹²Full resolution printed on page 9 of the July-August 1989 issue of the *China Business Review*.

Figure 1: Congressional voting on China's MFN/(P)NTR status, 1990-2000.



Triangles indicate the total proportion of pro-NTR votes.

extension of China's MFN status: from 1990 through 1999, Congress voted once per year on a bill to reverse the presidential waiver (see Figure 1). The House of Representatives voted to overturn China's MFN status in 1990, 1991, and 1992, although none of these votes ultimately passed the Senate. In 1992, President Bush vetoed two separate bills that would have made China's MFN status human rights contingent. In 1993, President Clinton linked China's MFN renewal to its human rights performance via executive order, though he also renewed China's waiver in 1994 absent any evidence of improved human rights practices (Devereaux, 2006).

In the mid-late 1990s, with Tiananmen Square not so fresh in legislators' minds, the pendulum shifted. China renewed its WTO application in 1995, allowing member states to request bilateral deals as a condition for entry; the U.S. did so, and bilateral talks began in 1997 (Devereaux, 2006). The goal was to leverage the U.S. veto over China's WTO accession to win a bilateral trade agreement on favorable terms; the trade agreement, which would establish "Permanent Normal Trade Relations (PNTR)" and end the annual

waiver renewal process,¹³ was now the primary topic of contention.

The same arguments made against early 1990s MFN extensions were made against granting China PNTR status. First, concerns remained regarding China's human rights practices; many felt that, while the U.S. had never failed to renew China's annual MFN status, the threat that it *might* do so was a powerful tool to encourage better behavior in Beijing.¹⁴ Moreover, concern was growing about the domestic effects of trade with China. The U.S. trade balance with China had grown sharply negative since the 1980s, particularly in manufacturing, and this reflected in part the growing propensity of U.S. firms to offshore production to Chinese factories (Devereaux, 2006). Labor unions,¹⁵ the U.S. ITC,¹⁶ various political pundits,¹⁷ and several congresspeople¹⁸ raised the concern that PNTR would create domestic unemployment of the type demonstrated by later economic analyses (Autor, Dorn and Hanson, 2013; Pierce and Schott, 2016).

On the other side, supporters of PNTR made two primary arguments. First, a common refrain was that, since China had already had MFN status for two decades, the deal would increase market access for U.S. firms in China in exchange for no additional U.S. concessions—Paul Krugman called PNTR “mostly a procedural issue.”¹⁹ Second, many argued that PNTR and China's subsequent entry into the WTO would create meaningful change within the Chinese state. Some, like Senator Dianne Feinstein (D-CA), appealed to modernization theory in arguing that democracy would follow naturally from China's

¹³The term “normal trade relations” as an alternative to MFN was devised in 1996 by a pro-trade group, which included U.S. Chamber of Commerce VP Willard Workman, because many legislators misunderstood the term “most favored nation” as implying that China would receive more privileges than other trade partners. See Eilperin, Juliet, “‘Normal Trade Relations’ Finds Favor Over MFN,” *The Washington Post*, 21 July 1998.

¹⁴See e.g. Phillips, Kevin, “The China Challenge,” *Los Angeles Times*, 21 May 2000.

¹⁵See e.g. statements from the UAW (<https://fbaum.unc.edu/lobby...UAW/Why.htm>) and the Teamsters (https://americanhistory.si.edu/collections/object/nmah_1322706).

¹⁶See USITC (1999).

¹⁷See e.g. Kelly, Jack, “Kowtowing to Corporate Greed Secures Normal Trade Relations,” *Pittsburgh Post-Gazette*, 4 June 2000; Scott, Robert E., “China PNTR: A Lose-Lose Deal,” *Charleston Sunday Gazette*, 14 May 2000.

¹⁸See e.g. “Rep. Bernie Sanders Opposes Permanent Normal Trade Relations (PNTR) With China,” *The Sanders Institute*, 23 May 2000; Wellstone, Paul D., “Keep Assessing Trade Status,” *Los Angeles Times*, 5 April 2000.

¹⁹Krugman, Paul. “Reckonings; A Symbol Issue,” *New York Times*, 10 May 2000.

economic growth.²⁰ Others, like President Clinton, argued that accession to the WTO would “bring China into a rule-based international system” that would both constrain and socialize it.²¹

Ultimately, PNTR passed into law in 2000 after winning a narrow majority in the House vote. Notably, the vote was not divided neatly across partisan lines: many Democrats voted in favor of PNTR (and, in fact, were pivotal for its passage), while a sizeable number of Republicans voted against. What made this outcome possible? In the following section, we argue that the growing export and investment ties between U.S. firms and China throughout the 1990s created a powerful interest group—the *China Lobby*—that successfully persuaded legislators that PNTR was in their districts’ economic interest.

3 Theory: the China Lobby and its Impact

We advance two theoretical claims. First, we argue that firms with existing *export* and *foreign direct investment* ties to China were particularly likely to join the China Lobby. Second, we argue that, as congressional districts become home to firms with additional export and investment links to China, legislators in those districts should become increasingly likely to vote in favor of (Permanent) Normal Trade Relations with China.

3.1 Forming the China Lobby

In the run-up to the PNTR vote in 2000, it was often claimed that “big business” or “large corporations” were the key agitators in favor of trade liberalization with China.²² We identify three groups of U.S. firms that stood to benefit from U.S.-China trade liberalization: first, firms that had already begun exporting to China or had already made

²⁰See Feinstein, Dianne, “Normalizing Trade Is Win-Win Scenario,” *Los Angeles Times*, 12 May 2000.

²¹Quoted from the President’s May 24, 2000 remarks upon the passage of the PNTR bill.

²²Kelly, Jack, “Kowtowing to Corporate Greed Secures Normal Trade Relations,” *Pittsburgh Post-Gazette*, 4 June 2000; Hamburger, Tom, “China trade debate splits the parties, usual allies,” *Minneapolis Star Tribune*, 16 April 2000.

direct investments in China. Second, large exporters and multinationals that had not yet entered the Chinese market but were interested in doing so. Third, importers such as large retailers that stood to gain from increased access to cheap final and intermediate goods from China. Of these three groups, we argue that firms with existing export and investment ties to China were the most active participants in lobbying for (P)NTR.

First, firms with existing export and investment ties to China had more at stake were normal trade relations to be revoked. If China were no longer to be granted MFN status, American multinationals manufacturing in China would face high tariffs when bringing their goods back to the United States. More importantly, it was widely believed that U.S. exporters and foreign investors would face retaliation from the Chinese government if the PNTR vote were to fail. It was speculated that China would leverage its control over the economy to simply terminate U.S. firms' export and investment deals and hand them to their European competitors instead.²³ One Chinese official, speaking anonymously, warned:

"China currently has millions of laws and regulations on its books, many of which are trivial and largely ignored. However, as a way of retaliation, Chinese officials could decide to selectively enforce these laws against American investors in China."²⁴

Firms understood these threats well; Sunkist Growers, a major citrus producer and exporter to China, believed that "China will likely take more covert steps to stop U.S. citrus exports if PNTR is not approved."²⁵ Sunkist CEO Vince Lupinacci said, as a result, "[w]e're talking to our congressman and senators... We're trying to convince them they should vote for permanent trade recognition for China."²⁶

Second, and relatedly, firms with export and investment ties to China had a pro-PNTR

²³See Unkovic, Dennis, "The Price of a Rebuff," *Pittsburgh Post-Gazette*, 19 May 2000.

²⁴Ibid.

²⁵Young, D.B., "China Citrus Business Could Mean Big Slice for Sunkist," *Los Angeles Times*, 2 May 2000.

²⁶Ibid.

argument to which politicians were particularly sympathetic. As the Sunkist example illustrates, the lobbying campaign surrounding PNTR was one of *persuasion*; given the uncertainty surrounding the vote's outcome and the technical nature of trade agreements, pro- and anti-China lobbies competed to inform congresspeople about the likely effects of the bill's passage (Austen-Smith, 1993; Pierce and Schott, 2016; Schnakenberg, 2017). In order to win votes, firms needed to provide convincing evidence that PNTR would allow them to grow their business, create jobs and economic growth, and outcompete their foreign rivals—or that failure to pass PNTR would have the opposite effects. On the latter point, firms with existing China ties had a stronger argument than those that hoped to form them in the future. Instead of arguing that PNTR's failure might weaken their odds of future entrance into the Chinese market, incumbent firms could point to the credible threat that China would terminate their existing business.

Firms that already *imported* goods from China, such as large retailers like Walmart (Nair, Bernstein and Zeckhauser, 2023), could make similarly convincing claims: access to cheap Chinese imports both improved their profit margins, allowing them to grow and create more jobs, and gave U.S. consumers access to more affordable goods. However, while politicians might privately find these arguments convincing, they must also ultimately explain their votes to their constituents. In particular, an affirmative vote on PNTR—a policy opposed by 79% of Americans as of an April 2000 poll²⁷—was likely to require some form of public justification. Many congresspeople issued public statements or even penned op-eds to explain their position to their constituents.²⁸

The U.S. public was unlikely to find importers' arguments compelling for two reasons: first, substantial public opinion research documents that individuals hold “mercantilist” views on trade, preferring exports to imports and disliking large deficits (Schweinberger,

²⁷*Business Week*/Harris Poll, “Globalization: What Americans Are Worried About,” *Business Week* 24 April 2000. The poll found that 79% of respondents favored granting PNTR only if it were made conditional on China's human rights and labor standards, which the PNTR bill did not do.

²⁸See e.g. Craig, Larry, “Idaho, U.S. wise to strengthen trade relationship with China,” *The Idaho Statesman*, 6 January 2000; Allard, Wayne, and Scott McInnis, “State will gain from trade,” *The Denver Post*, 20 May 2000.

2026; Spater, 2024; Zhang and Zu, 2025). Given the already large and growing U.S. trade deficit with China in the 1990s, few would respond positively to claims that PNTR would spur further Chinese imports.²⁹ Second, discussion of the low prices of Chinese imports would draw attention to China's weak labor rights protections and low wages; these issues were at the fore of anti-PNTR arguments to which many Americans were sympathetic.³⁰

Thus, while many types of firms may have had an incentive to lobby in favor of (P)NTR with China, those with existing export and investment ties had the strongest and most publicly defensible arguments. We argue that these incumbent firms are thus the most likely to invest in lobbying. In making this argument, we update a large literature on trade lobbying that argued that productive, multinational firms should disproportionately support and lobby for trade liberalization (Blanga-Gubbay, Conconi and Parenti, 2025; Bombardini and Trebbi, 2012; Kim and Milner, 2020; Osgood et al., 2017). Even among large multinationals that support trade liberalization, we argue, those with existing trade and investment links in a given partner country are more likely to be willing and able to lobby in support of liberalization with that country.

H1: Firms with existing export and investment ties to China are more likely to lobby in favor of (P)NTR.

3.2 China ties and (P)NTR Votes

Having claimed that firms with existing export and investment ties to China were the primary lobbying force in favor of (P)NTR, we next argue that the geographic distribution of these firms within the U.S. shaped congressional voting on U.S.-China trade. In brief, we argue that congresspeople in districts that are home to more firms with export

²⁹This may help explain the absence of a strong link between consumer interests and trade policy, as documented by Betz and Pond (2019).

³⁰See Footnote 27.

and investment ties to China are more likely to vote in favor of extending China's MFN status and more likely to support PNTR. This argument is based on two key assumptions: first, we assume that firms are most likely to (successfully) lobby the congressperson who represents their headquarters district. Second, we assume that firms' ability to persuade their congressperson is increasing in the number of export and investment ties between their district and China.

There are several reasons why firms might be more likely to lobby the congressperson who represents their headquarters. First, if firms' arguments in favor of (P)NTR are based on the positive effects of their own dealings with China on the district's economy (or the negative effects were these dealings to cease), these arguments are more convincing when the firm has a larger economic and employment footprint in the district ([Bisbee and You, 2024](#); [Roberts, 2025](#)). Politicians are particularly sensitive to the threat of layoffs in their district ([Margalit, 2011](#)), providing an extra incentive to bend an ear to their district's large employers.

Second, given that there are fixed costs to gaining access to lobbying contacts ([Kalla and Broockman, 2016](#); [Kerr, Lincoln and Mishra, 2014](#); [Schnakenberg, 2017](#)), firms are likely to direct their lobbying dollars towards elected officials that they've already developed relationships with. Third, since locally headquartered firms likely enjoy more positive reputations in their district relative to other firms, elected officials can mention these firms by name to build support for their (P)NTR vote. For example, in an op-ed titled "Why I Will Vote Yes," Representative Martin Meehan (D-MA) wrote: "The China trade deal negotiated by the administration will help the 3Com Corporation introduce in China broadband access products developed in Marlborough and Andover, thereby creating about 500 new jobs in the Fifth District."³¹

When firms with export and investment ties to China lobby their own representatives in favor of (P)NTR, they give policymakers an argument that is both privately compelling

³¹Meehan, Martin, "Why I Will Vote Yes," *Boston Globe*, 21 May 2000.

and publicly defensible. We further assume that, as the number of export and investment ties to China *increase* within a district, the district’s representative should be increasingly likely to support (P)NTR. First, this likely means that the policymaker will face additional pressure from their district’s firms to vote in favor of liberalizing U.S.-China trade. Second, as the value of U.S.-China export and investment ties increases within a district, so too does the economic cost that the district would suffer if the ties were to be severed.

H2: In districts where firms have greater export and investment ties to China, congress-people are more likely to vote in favor of (P)NTR.

4 Data: U.S.-China Commercial Ties

In order to test our hypotheses, we need to be able to identify individual U.S. firms that exported to China or had direct investments in China prior to or during the 1990s. This is a difficult task: fDi Markets, the most commonly used source of data on firm-level foreign investments ([Owen, 2019](#); [Rommel, 2024](#)), only begins in 2003. While the U.S. Bureau of Economic Analysis uses surveys to collect data about U.S. multinationals’ foreign affiliates, evidence suggests that this type of administrative data is likely to significantly undercount U.S. investment in China ([Hanemann, Rosen and Gao, 2016](#)).³² Likewise, while scholars have begun to use bills of lading data from proprietary sources like Descartes Datamyne and S&P Panjiva to link firms to their exports ([Kim, Liao and Miyano, 2025](#)), these data also begin in the 2000s or later.

We overcome these challenges by collecting new deal-level data on firms’ exports to and investments in China. We do so by digitizing 185 archival editions of the *China Business Review* (CBR), a bimonthly publication of the U.S.-China Business Council dedicated to reporting on issues of relevance to its membership: trade policy developments, strate-

³²Further, benchmark surveys were only conducted in 1989, 1994, and 1999, precluding annual analyses ([Baccini, Pinto and Weymouth, 2017](#)).

Table 1: U.S. exports to and investment in China, 1979-2000: top 10 industries, and top 3 firms per industry.

Industry	Deals	Top firms
Electronics and computer software	1,014	IBM, Hewlett-Packard Company, Microsoft Corp
Telecommunications	538	Motorola Inc, AT&T, Lucent Technologies
Transportation and transportation equipment	503	Boeing Co., General Motors, Ford Motor Co.
Petroleum, natural gas, and related equipment	383	Exxon Corporation, Chevron Corp., Amoco Corporation
Chemicals, petrochemicals, and related equipment	347	Fluor Corp, Lummus Technology, Dow Chemical Company
Food processing and food service	243	Coca-Cola Company, PepsiCo Inc, McDonald's Corp
Energy and electric power	234	Westinghouse Electric Corporation, General Electric Co, Sthe Energies Inc
Metals, minerals, and processing technology	212	Bechtel Corporation, Occidental Petroleum Corp, Fluor Corp
Machine tools and machinery	208	Caterpillar Inc, Combustion Engineering, General Electric Co
Consumer goods	187	Procter & Gamble Co, Wal-Mart Stores Inc, Eastman Kodak Co

gies for navigating the Chinese bureaucracy, interviews with U.S. diplomats and expatriates working in China, and so on. Beginning in 1979, the magazine began publishing in each issue a list of all trade deals, investment deals, and other international commercial activity it could find involving China. While the sources for each deal are not listed, the magazine explains that the deals are sourced from public news reports and press releases. The CBR data is thus comparable to a China-specific fDi Markets, but including a broader range of commercial activity and covering a much broader timeframe.

We scrape and clean all deal lists from each issue published between 1979 and 2009, producing over 24,000 individual deals. After limiting to deals including U.S. firms that occurred prior to the PNTR vote in 2000, the count is 5,832; of these, 2,137 (37%) are categorized as U.S. exports to China, 2,050 (35%) are categorized as U.S. direct investments

in China, and the remainder are categorized as “other” (including licensing agreements, cooperation agreements, lending, and other transactions).³³ In addition to the type of transaction, CBR provides other deal-level metadata: the names and nationalities of all foreign firms involved, the industry of the deal, a brief description of the deal, the date the transaction occurred, and (for some years) the identities of the Chinese parties to the deal. While dollar values are occasionally reported, they are unfortunately too rare to be useful.³⁴

Table 1 displays the top industries represented in the CBR data, as well as the three firms with the most deals within each industry. Reassuringly, the top industries in the CBR data are highly similar to the top industries reported in aggregate national accounts;³⁵ U.S. tech firms had a large presence in China in the late 20th century, as did firms in infrastructure-related sectors (telecom, electric utilities) and extractive industries (oil and gas, mining). Notably, the list of top China-linked firms contains many “superstar” multinationals (Autor, Dorn, Katz, Patterson and Van Reenen, 2020), including those known to have particularly powerful lobbying teams (such as General Electric, Boeing, and Chevron).

Through a combination of linking to corporate databases including Orbis and Compustat and manual search (particularly for now-defunct firms), we identify and geocode headquarters locations for as many of the firms in the CBR data as possible. Figure A3 plots the geographical distribution of export and investment ties to China, by congressional district, in both 1993 and 2000. First, as the gravity model of trade would predict, there is clustering in major west coast cities: Los Angeles, San Francisco, Portland, and Seattle. Interestingly, however, there are also a substantial number of China-linked firms in the Rust Belt states of Michigan, Wisconsin, Illinois, and Ohio, areas that were also

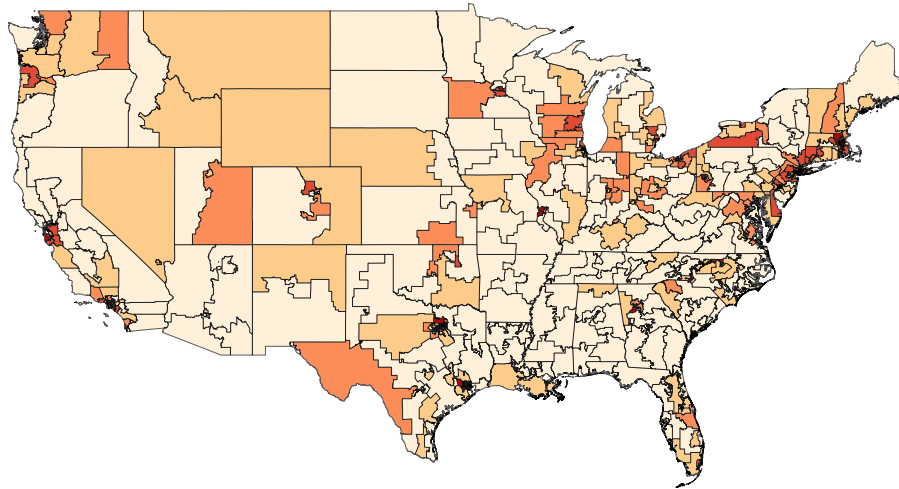
³³A very small portion (<1%) consists of Chinese exports to/investments in the United States, which CBR did not invest much effort in tracking.

³⁴Only 36% of the pre-PNTR U.S. deals have an associated dollar value; in some years, as few as 19% of deals have a dollar value.

³⁵See Appendix Section A.2.

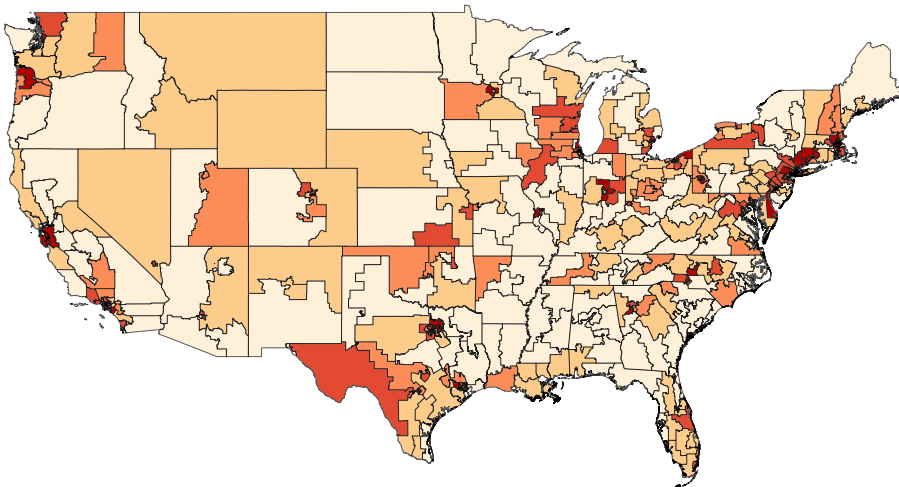
Figure 2: U.S.-China deals by congressional district.

(a) 1993



China deals to date 0 1-4 5-9 10-24 25+

(b) 2000



China deals to date 0 1-4 5-9 10-24 25+

heavily exposed to Chinese import competition ([Autor, Dorn and Hanson, 2021](#)). Further, there is clustering in the New York City metro area; perhaps not coincidentally, several Democratic representatives from New York split with their party and voted in favor of PNTR.

The CBR data offer a unique opportunity to measure the export and investment ties that individual U.S. firms formed with China throughout the late 20th century. While the data certainly does not capture every single trade and investment deal that occurred during this period, all evidence suggests that it is a representative sample.³⁶ Further, because the data was compiled from press releases and news reports, its coverage is likely to be most comprehensive among the population of firms in which we are most interested: large, national corporations with sufficient resources to engage in political influence activities. These firms are more likely than others to issue press releases, and their press releases are likely to gain more media attention. If a major national corporation does *not* appear in the CBR data, then, we can be relatively sure that it was not exporting to or investing in China.

5 Which Firms Joined the China Lobby?

The CBR data allows us to determine which U.S. firms had already formed export and investment links to China prior to the PNTR vote in 2000. We begin our analysis by using this data to test H1: were firms with existing export and investment relationships with China more likely to lobby in favor of PNTR? Answering this question also requires data on the composition of the China Lobby, which we acquire from two sources: first, a list compiled by the White House on firms that had expressed their written support for PNTR; second, data on federal trade lobbying from LobbyView ([Kim, 2017](#)).

³⁶See Appendix [A](#).

5.1 Evidence from the White House list of supporters

In February 2000, three months prior to the PNTR vote, President Clinton asked Secretary of Commerce William Daley to assemble a task force to “coordinate interagency activities associated with the passage of PNTR” within the White House.³⁷ The task force, named the China Trade Relations Working Group, was staffed by five presidential advisors and five trade-related cabinet members (USTR, State, Commerce, Agriculture, Treasury). In practice, the working group was primarily a vehicle through which (1) the Clinton administration could build public support for the PNTR bill; (2) firms could efficiently lobby the federal government on PNTR. A GAO investigation revealed “extensive outreach and communication by the Administration with private sector groups such as public corporations and trade and business coalitions.”³⁸

In May 2000, just before the PNTR vote, the working group published a list of 451 corporate supporters of PNTR on its website. With the exception of the tech industry supporters, which the working group sourced from an open letter, no external source is provided for this list.³⁹ In light of the GAO report, we assume that the working group compiled the list of corporate supporters through their own direct correspondence with firm representatives—in a word, lobbying.⁴⁰ The list offers us a rare opportunity to observe not only the fact that firms made direct contact with policymakers about PNTR, but also their *position* in favor of the bill. We thus treat appearing on the White House working group’s list of PNTR supporters as our first and most comprehensive measure of lobbying on PNTR.

We begin by matching all of the publicly-traded firms on the White House list to (1) Compustat data on corporate financials, and (2) the CBR data on firms with export and

³⁷Government Accountability Organization, Office of the General Counsel. “Lobbying Activity in Support of China Permanent Normal Trade Relations.” 22 May 2000.

³⁸Ibid.

³⁹See <http://www.chinapntr.gov/validators/examples.htm>.

⁴⁰Evidence also suggests that the lobbying was informational in nature; the GAO investigation revealed that most of the working group’s communications took the form of “information-sharing between the outside organizations and the agency representatives to the Working Group.” See Footnote 37.

Table 2: U.S. publicly traded firms by China links and PNTR supporter status.

		PNTR supporter?		
		No	Yes	% support
China link?	No	9823	69	0.7%
	Yes	273	87	24%
% w/link		2.7%	56%	

investment ties to China as of 2000. We limit our focus to public firms in part due to data availability, but also because public firms are a natural sample: they are large, productive firms that could conceivably do business in China and/or lobby the government.⁴¹ Table 2 provides a first look at the data, dividing all Compustat firms according to whether they had export or investment links to China and whether they appeared on the White House list. The cross-tab provides strong suggestive evidence that China-linked firms dominated the China Lobby: while fewer than 1 in 100 firms without China links appeared on the PNTR supporters list, almost 1 in 4 of China-linked firms did. Further, despite comprising less than 3% of all public firms, China-linked firms made up *more than half* of the list.

To provide more rigorous evidence, we conduct regressions of White House list appearance on China links at the firm level. We include industry fixed effects as well as covariates that might jointly predict a firm’s international commerce and its domestic lobbying behavior: in particular, size (as proxied by total assets and employees) and multinational status (as proxied by the number of foreign subsidiaries). We estimate regressions of the following form, with i indexing firms and s indexing industries:

$$y_{is} = \alpha_s + \delta \text{chinalinks}_{is} + \beta X_{is} + \epsilon_{is} \quad (1)$$

Table 3 presents the results of five OLS regressions with robust standard errors clustered on the six-digit NAICS industry. Across models, the relationship between firm-level

⁴¹Many studies of lobbying similarly limit their focus to public firms: see e.g. [Kerr, Lincoln and Mishra \(2014\)](#) and [Kim \(2017\)](#).

Table 3: Even among multinationals, China-linked firms are more likely to support PNTR.

	DV: appeared on PNTR supporter list				
	(1)	(2)	(3)	(4)	(5)
China links (ln)	0.219*** (0.015)	0.210*** (0.017)	0.192*** (0.016)	0.189*** (0.016)	0.135*** (0.021)
Total assets (ln)			0.000 (0.001)	-0.000 (0.001)	0.000 (0.001)
Employees (ln)			0.016*** (0.004)	0.014*** (0.004)	0.014*** (0.004)
Foreign subsidiaries (ln)				0.006* (0.003)	0.001 (0.002)
China links $\times$ Foreign subs					0.025*** (0.007)
Num.Obs.	10252	9917	8027	8027	8027
R2	0.125	0.212	0.246	0.249	0.266
Industry FE		✓	✓	✓	✓
+ p < 0.1, * p < 0.05, ** p < 0.01, *** p < 0.001					

export and investment links to China and their lobbying on PNTR is positive, precisely estimated, and large in magnitude. Even in Model (4), which controls for industry, size, and multinationality, a one standard deviation increase in China links is associated with a 5.1pp increase in the probability of appearing on the White House list—an increase equal to 41.6% of a standard deviation in the outcome.

How important is a firm's multinational status alone in determining whether or not it will lobby in favor of PNTR? Model (5) tests this by interacting China links and the logged count of a firm's foreign subsidiaries. The results support our theory: for a firm without any export or investment ties to China, there is no significant relationship between the firm's foreign presence and its propensity to appear on the White House list. Among those with China links, however, those with more foreign subsidiaries are significantly more likely to lobby on PNTR. Even among global firms, those with an existing presence in a given partner state are more willing to push for trade liberalization with that state.

5.2 Evidence from federal trade lobbying

We also test our theory in the more traditional setting of official federal trade lobbying (Blanga-Gubbay, Conconi and Parenti, 2025; Bombardini and Trebbi, 2012; Kim, 2017; Osgood, 2017b). Relative to the previous analysis, however, identifying instances of pro-PNTR lobbying in federal lobbying reports filed under the Lobbying Disclosure Act (LDA) is less straightforward. Lobbyists filing these reports must list their corporate clients, and must disclose (broadly) whether or not they discussed trade-related issues, but typically provide little detail on the exact bills or issues discussed or their clients' positions on these issues. Past work has drawn on firms' public statements and membership in coalitions to conclude that the vast majority of corporate trade lobbying is pro-liberalization (Blanga-Gubbay, Conconi and Parenti, 2025; Osgood, 2018). However, more problematic for our purposes is the inability to determine whether a firm's trade lobbying pertained to PNTR with China versus some other trade policy issue.

To circumvent this issue, we take the following steps: first, we simply estimate cross-sectional regressions of the same form as Equation 1 with the outcome equal to the extent of a firm's total trade lobbying in the 1999-2000 period, operationalized as the (log transformed) number of trade-related lobbying reports associated with the firm during this period. Second, to assess how much of the relationship between China links and trade lobbying is attributable to PNTR lobbying, we estimate dynamic effects across the 2000-2004 period; if the relationship between China links and trade lobbying is strongest in 2000, when PNTR was being voted on, we can interpret this as evidence that China-linked firms were disproportionately likely to lobby on PNTR relative to other trade issues.

Table 4 presents the results of the cross-sectional regressions, again accompanied by robust standard errors clustered on the industry. The results complement those in Table 3: firms with more export and investment ties to China engage in greater levels of trade lobbying during the pre-PNTR period, even after controlling for industry, size, multina-

Table 4: China-linked firms are more likely to lobby on trade in 1999-2000.

	DV: Trade lobbying reports (ln)			
	(1)	(2)	(3)	(4)
China links (ln)	0.262*** (0.038)	0.219*** (0.038)	0.218*** (0.037)	0.127*** (0.024)
Total assets (ln)		-0.001 (0.002)	-0.001 (0.002)	-0.003* (0.002)
Employees (ln)		0.035*** (0.007)	0.034*** (0.007)	0.008 (0.005)
Foreign subsidiaries (ln)			0.002 (0.005)	-0.003 (0.004)
Nontrade lobbying (ln)				0.217*** (0.019)
Num.Obs.	9917	8027	8027	8027
R2	0.241	0.282	0.282	0.560
Industry FE	✓	✓	✓	✓

+ p < 0.1, * p < 0.05, ** p < 0.01, *** p < 0.001

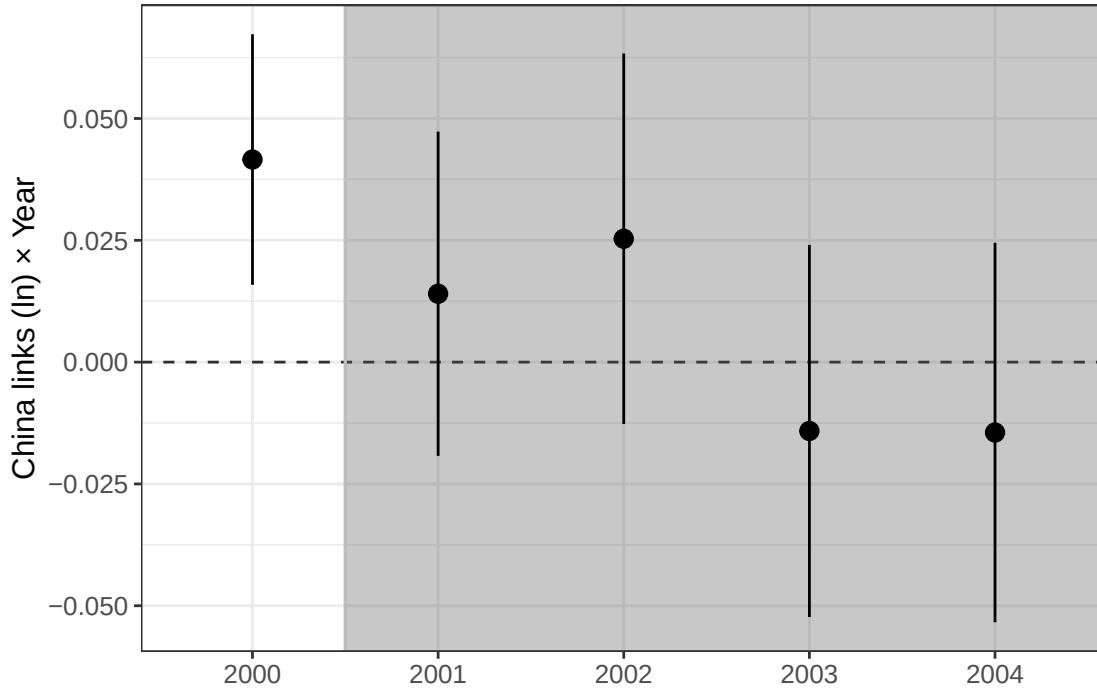
tionality, and other lobbying activity.⁴² While these results align with our theory, they are not fully satisfying as estimates of surplus lobbying activity driven by the PNTR vote; this is because the outcome variable combines instances of PNTR-specific trade lobbying with those of trade lobbying on other issues. At best, this introduces measurement error; at worst, it could result in omitted variable bias if our measure of China links is correlated with firms' unobserved trade and investment links with other countries.

To address this issue, we use additional years of lobbying data to assess how the relationship between China links and trade lobbying changes over time. If the relationship is consistent across time, meaning that China-linked firms are always similarly likely to engage in trade lobbying regardless of what Congress is voting on, this would suggest that the results in Table 4 are not actually capturing firms' lobbying efforts on PNTR.⁴³

⁴²We add this control because lobbying is "sticky;" once firms begin lobbying on one issue, they tend to continue lobbying on other issues (Kerr, Lincoln and Mishra, 2014). Absent this control, trade lobbying may simply be proxying for total lobbying activity.

⁴³However, it would *not* necessarily imply that the relationship between China links and trade lobbying is spurious. It could also reflect ongoing, "ex post" lobbying (You, 2017) related to PNTR implementation and China's WTO accession, or it could simply be the case that China-linked firms consistently require

Figure 3: Firms with export and investment links to China are more likely to lobby on trade policy in 2000, when PNTR was voted on, relative to other years.



However, if the relationship is strongest and most positive in 2000, the most critical year in which to lobby congress on the PNTR bill, it would support our theory's prediction instead. To test this, we estimate the following model:

$$y_{it} = \alpha_i + \gamma_t + \sum_{\tau=2000}^{2004} \delta_{\tau} [\text{chinalinks}_{i,t=1999} \times \mathbb{1}(t = \tau)] + \beta X_{it} + \epsilon_{it} \quad (2)$$

Figure 3 plots the interaction term coefficients from Equation 2 for 2000-2004, relative to a baseline of 1999, alongside 95% confidence intervals based on robust standard errors clustered on the firm.⁴⁴ As predicted, the relationship between firms' export and investment links with China and their trade lobbying is significantly stronger in 2000 than it is in the following four years after PNTR had already passed.⁴⁵ We interpret this as robust

more governmental assistance on trade policy than other firms.

⁴⁴1999 is the first year for which LDA lobbying reports are available. We use only pre-PNTR measures of firms' export and investment links to China to avoid introducing post-treatment bias.

⁴⁵Full model results are available in Appendix Table C5.

evidence that China-linked firms were more likely than their peers to lobby in favor of PNTR in 2000; even in the event that the cross-sectional estimates in Table 4 suffer from omitted variable bias, this bias should be consistent across years such that the estimates of δ_τ presented in Figure 3 are unbiased.

6 Did China-Linked Firms Influence Congressional Voting?

Across two different sources of lobbying data, we find strong evidence that firms with export and investment links to China were the most likely to lobby in favor of PNTR. We now turn to our second hypothesis: did the geographical distribution of these firms within the U.S. influence congressional voting on (P)NTR with China throughout the 1990s? We have argued that, as firms in a congressional district build their export and investment ties to China, that district’s representative will be increasingly likely to vote in favor of (P)NTR.

6.1 Data and research design

In order to test this hypothesis, we first need to identify a sample of relevant roll call votes. We follow [Bombardini, Li and Trebbi \(2023\)](#) in using House votes on the passage of (i) the annual bills introduced with the intention to *revoke* China’s MFN/NTR status, 1993-2000; (ii) the PNTR bill in 2000.⁴⁶ While China MFN votes also occurred in 1990, 1991, and 1992, we do not include these votes because the congressional reapportionment that took place in 1993 (based on the 1990 census) precludes within-district comparisons with earlier congresses, and we employ a within-district research design.⁴⁷ We access roll

⁴⁶A full description of the votes used in this analysis can be found in Appendix Table B4.

⁴⁷Further, given that these votes occurred in a different era of U.S.-China bilateral relations—shortly after Tiananmen Square, during the Bush presidency—they are arguably less suitable comparisons to the PNTR vote than the post-1992 votes.

call voting data from Voteview ([Lewis et al., 2026](#)), and like [Bombardini, Li and Trebbi \(2023\)](#) we recode all votes into “pro-(P)NTR” and “anti-(P)NTR;” for example, voting “yea” on the PNTR bill and voting “nay” on the 1999 bill to revoke China’s MFN waiver would both be coded as pro-(P)NTR votes. This leaves us with a sample of 3,917 votes across 9 distinct bills.

To map firms’ China links to congressional districts, we take the following steps. First, using the CBR data, we tabulate each firm’s cumulative number of export, investment, and overall deals with China each year. We then identify firms’ headquarters locations during the 1993-2000 period, and use shapefiles from [Lewis et al. \(2013\)](#) to assign each firm to its corresponding congressional district each year. Finally, we calculate the number of (i) total deals; (ii) total export deals; and (iii) total FDI deals associated with firms in each congressional district-year. We calculate districts’ *stocks* of China links rather than flows because firms care about both their new and existing contracts; while the CBR data only reports investment deals when they are initially announced, for example, firms maintain a perpetual economic interest in their foreign investments.

Prior to regressing votes on district-level China links, we also take pains to measure and control for factors that might confound this relationship. First, we account for legislator ideology using party fixed effects and DW-NOMINATE scores. To account for district demographics, we control for population and average wages using data from the NHGIS ([Manson et al., 2024](#)) and the County Business Patterns (CBP) ([Eckert et al., 2020](#)).⁴⁸ To account for the possibility that districts with many China links are simply business centers, we also use CBP data to control for the total number of business establishments in a district. To account for the economic makeup of each district, we use CBP data to control for the proportion of a district’s workforce employed in retail and the proportion employed in manufacturing. Finally, as the location of Wal-mart supercenters has been shown to predict congressional voting on (P)NTR ([Nair, Bernstein and Zeckhauser, 2023](#)),

⁴⁸To aggregate county-level data up to the congressional district, we use population density-weighted crosswalks from [Ferrara, Testa and Zhou \(2024\)](#).

we use data from [Holmes \(2011\)](#) to control for the number of Wal-marts per congressional district-year.

To determine the relationship between districts' export and investment links to China and representatives' voting on (P)NTR, we estimate regressions of the following form:

$$y_{dtv} = \alpha_d + \gamma_t + \delta \text{chinalinks}_{dt} + \beta X_{dtv} + \epsilon_{dtv} \quad (3)$$

We index district by d , year by t , and vote by v . Since our models include year and district fixed effects, we are identifying off of *within-district* variation in China links over the 1993-2000 time period. While this is an exacting specification, adjusting for unobserved heterogeneity at the district level gives us a stronger claim to causal identification.

6.2 Results

Table 5 presents the results of six OLS regressions alongside robust standard errors clustered on congressional district and year. First, the results in Models (1) and (4) indicate that district-level export and investment links to China are a strong predictor of congressional votes in favor of normal trade relations with China. The magnitude is quite meaningful: a one standard deviation increase in a district's China links—restricting to the variation that remains once district, year, and party fixed effects are partialled out—is associated with an 8.5pp increase in the probability that a congressperson votes in favor of liberalizing trade with China.

Further, the coefficients on FDI links are larger and more precisely estimated than those on export links. There are two plausible interpretations for this result. First, it could be the case that the lifecycle of a foreign investment is longer, on average, than that of an export relationship; if this were to be so, then our choice to measure stocks of linkages rather than flows may simply create more measurement error for trade relative to FDI. Second, however, it could also be the case that—since investing in a new market

Table 5: In districts with more export and investment links to China, legislators were more likely to vote in favor of (P)NTR.

DV:	Pro-(P)NTR vote					
	(1)	(2)	(3)	(4)	(5)	(6)
Total links (ln)	0.091* (0.038)			0.098* (0.040)		
Total FDI links (ln)		0.095* (0.040)			0.107* (0.037)	
Total export links (ln)			0.050 (0.052)			0.051 (0.062)
Num.Obs.	3827	3827	3827	3625	3625	3625
R2	0.526	0.526	0.524	0.550	0.550	0.548
Controls				✓	✓	✓
District FE	✓	✓	✓	✓	✓	✓
Year FE	✓	✓	✓	✓	✓	✓
Party FE	✓	✓	✓	✓	✓	✓

+ p < 0.1, * p < 0.05, ** p < 0.01, *** p < 0.001

requires greater fixed costs than exporting to a new customer—foreign investors in China had greater stakes in liberalization than those that solely exported. It would then follow that investors would have relatively greater incentive to lobby on behalf of liberalization, as well as a more convincing argument for legislators. We find some support for this interpretation in the data: reanalyzing the results in Table 3, we find that FDI links are more predictive of a firm’s appearance on the White House list of PNTR supporters than export links.⁴⁹

7 External Validity

While our evidence explains specifically why U.S. legislators supported a policy that catalyzed the China shock, the underlying logic of the argument rests on two claims that are more generalizable to other cases. First, in the context of bilateral commercial rela-

⁴⁹See Appendix Table C6.

tions, firms with existing trade and investment ties to the partner country are more likely to lobby in favor of liberalization compared to non-incumbent multinational firms. Second, policymakers are more responsive to informational lobbying when the information is not only privately credible but also publicly defensible.

We point to an additional case that suggests that these two claims may also be applicable outside of the U.S.-China context: the China–Australia Free Trade Agreement (ChAFTA) negotiations. ChAFTA is a parallel case that supports our firm incumbency hypothesis because several of the prominent firms that engaged with Parliament’s review of the agreement were incumbents with established operations in China. Major corporations like the Australia and New Zealand Banking Group (ANZ), Treasury Wine Estates, and Blackmores engaged in informational lobbying through submissions to the Joint Standing Committee on Treaties in support of the deal.⁵⁰ ANZ had operated in China since 1986 and held stakes in two Chinese banks.⁵¹ Treasury Wine Estates already ran its own sales and marketing in China,⁵² and Blackmores had a wholly foreign-owned Chinese subsidiary.⁵³

Like PNTR’s supporters, these firms emphasized the threat of losing the market, with ANZ’s chief executive, who chaired the Business Council of Australia’s China Leadership Group, warning that delays in passing the agreement would push China toward competitors such as Brazil, Indonesia, or Canada.⁵⁴ And as with (P)NTR, businesses framed the debate around exports and jobs, with the Business Council dismissing opposition concerns over labor displacement as “a mischievous and inaccurate campaign.”⁵⁵ While

⁵⁰See Parliament of Australia, Joint Standing Committee on Treaties, “Treaty Tabled 17 June 2015: Submissions,” 2015, https://aph.gov.au/Parliamentary_Business/Committees/Joint/Treaties/17_June_2015/Submissions.

⁵¹ANZ, “ANZ to Establish an Operations Centre in Chengdu to Support Growth in China,” Media Release, 27 September 2010; ANZ, “ANZ’s Locally Incorporated Bank to Commence Operation in China,” Media Release, 21 September 2010.

⁵²Young, Andy, “Treasury Wine Estates Targets China Growth,” *TheShout*, 24 June 2015.

⁵³“With Record Results at Home, Blackmores to Bolster Key Asian Markets,” *FoodNavigator*, 3 March 2015.

⁵⁴Smith, Mike, “Why ChAFTA Is More Than Just Another Free Trade Deal,” *ANZ BlueNotes*, August 2015.

⁵⁵Westacott, Jennifer, “Don’t Be Fooled by Union Campaign: China FTA in National Interest,” *The Australian*, 8 August 2015.

Australia in the 2010s, unlike the U.S. during the 1990s, had a positive trade balance with China at the time ChAFTA was being negotiated, this surplus was and is driven almost entirely by commodity exports. ChAFTA, like PNTR, was implemented in the presence of growing industrial imports from China and growing concern about potential labor market effects.⁵⁶

8 Conclusion

In this paper, we ask why the U.S. maintained and even increased trade liberalization with China between 1990-2000 in the face of strong opposition from the public and organized labor. We argue that support for (P)NTR was driven not by business interests more broadly, but by a group of powerful firms with existing trade and investment ties to China which we call the *China Lobby*. Because these incumbent firms faced a credible threat of Chinese retaliation if (P)NTR were to fail, and had a pro-PNTR argument that appealed to a sceptical American public, they had both the ability and the incentive to lobby policymakers in favor of liberalization. Second, we theorize that firms are most effective at lobbying the representatives of their headquarters districts, such that the geographic distribution of China-linked firms should shape congressional voting on (P)NTR.

To test these claims, we construct a new dataset of trade and investment deals between U.S. firms and China from 1979 to 2000, digitized from 185 issues of the *China Business Review*. Using the CBR data in conjunction with federal lobbying and congressional roll-call votes data, we find robust support for both parts of our argument, discovering that China-linked firms account for 56 percent of the firms on the White House list of PNTR supporters despite representing only 3.5 percent of publicly traded firms. We likewise find that China-linked firms were more likely to engage in federal trade lobbying, with this difference becoming particularly pronounced in 2000 when Congress voted on

⁵⁶See e.g. Andaman Partners, "Australia-China Trade Rebalancing as Industrial Imports Outpace Commodity Exports," 3 March 2026.

(P)NTR. These patterns suggest that the firms most directly exposed to the consequences of a breakdown in U.S.-China commercial relations were also among the most active political advocates for preserving those relations. Additionally, as congressional districts accumulated commercial ties to China, their representatives became significantly more likely to vote in favor of (P)NTR.

Therefore, our findings not only have implications for how we understand the China Shock, but also for how we analyze the domestic politics of trade. Existing work emphasizes the tendency of multinational firms to favor trade liberalization, but our results suggest that multinational status alone does not capture the relevant political cleavage. The firms that supported PNTR were disproportionately ones that had already incurred the fixed costs of establishing commercial relationships with China. These incumbent firms had more at stake in the bilateral relationship and, importantly, could translate those interests into compelling arguments about domestic economic consequences. This distinction helps explain why firms with similar preferences over trade policy may differ substantially in their willingness and ability to lobby for liberalization. It also demonstrates how comparatively small, concentrated interest groups can achieve policy goals even when those goals generate costs for larger constituencies that are more diffuse and less politically organized.

Another implication of our findings is that economic integration can generate the actors that subsequently defend it, such that the constituency for globalization may be endogenous to globalization itself. Firms that enter foreign markets following an initial period of liberalization acquire economic interests in maintaining the policies that sustain those relationships. This creates a feedback loop in which earlier rounds of economic liberalization can make subsequent liberalization more likely even in the face of domestic opposition, indicating that trade openness may be path dependent. Applied to the contemporary international trading system and growing trends toward protectionism, this suggests that the firms that benefited from and helped drive earlier rounds of globaliza-

tion may also be a critical source of resistance to reversing them. Future research should examine whether these incumbent firms continue to rely on the same political strategies and narratives to deter protectionism, or whether sustained pressure to unwind economic integration causes the coalition to evolve or fragment.

In a similar vein, our argument may hold new consequences for weaponizing economic interdependence⁵⁷, such that foreign governments like China can leverage pre-existing ties with multinational firms to mobilize foreign lobbies through threats of firm-level retaliation, identifying a less obvious channel through which a country can shape the domestic trade policy of a partner state.

More broadly, our framework offers a way of studying firm influence that departs from existing literature that derives firms policy preferences from fixed attributes like productivity or multinational status. We instead emphasize where firms have already sunk their investments, and whether those investments give them both a stake in a particular policy outcome and an argument for it that policymakers can defend publicly. This approach is likely not limited to trade. Firms with existing operations in a sanctioned or adversarial state may become the most active opponents of sanctions or export controls. Firms that have made sunk investments in response to industrial or climate subsidies may become the strongest defenders of those programs, particularly in the districts where their facilities are located. In each case, the relevant political cleavage lies not between industries or between multinational and domestic firms, but between firms that are already invested in a policy regime and those that are not.

⁵⁷See [Farrell and Newman \(2019\)](#).

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Appendix to: The China Lobby and The China Shock

A *China Business Review* data validation

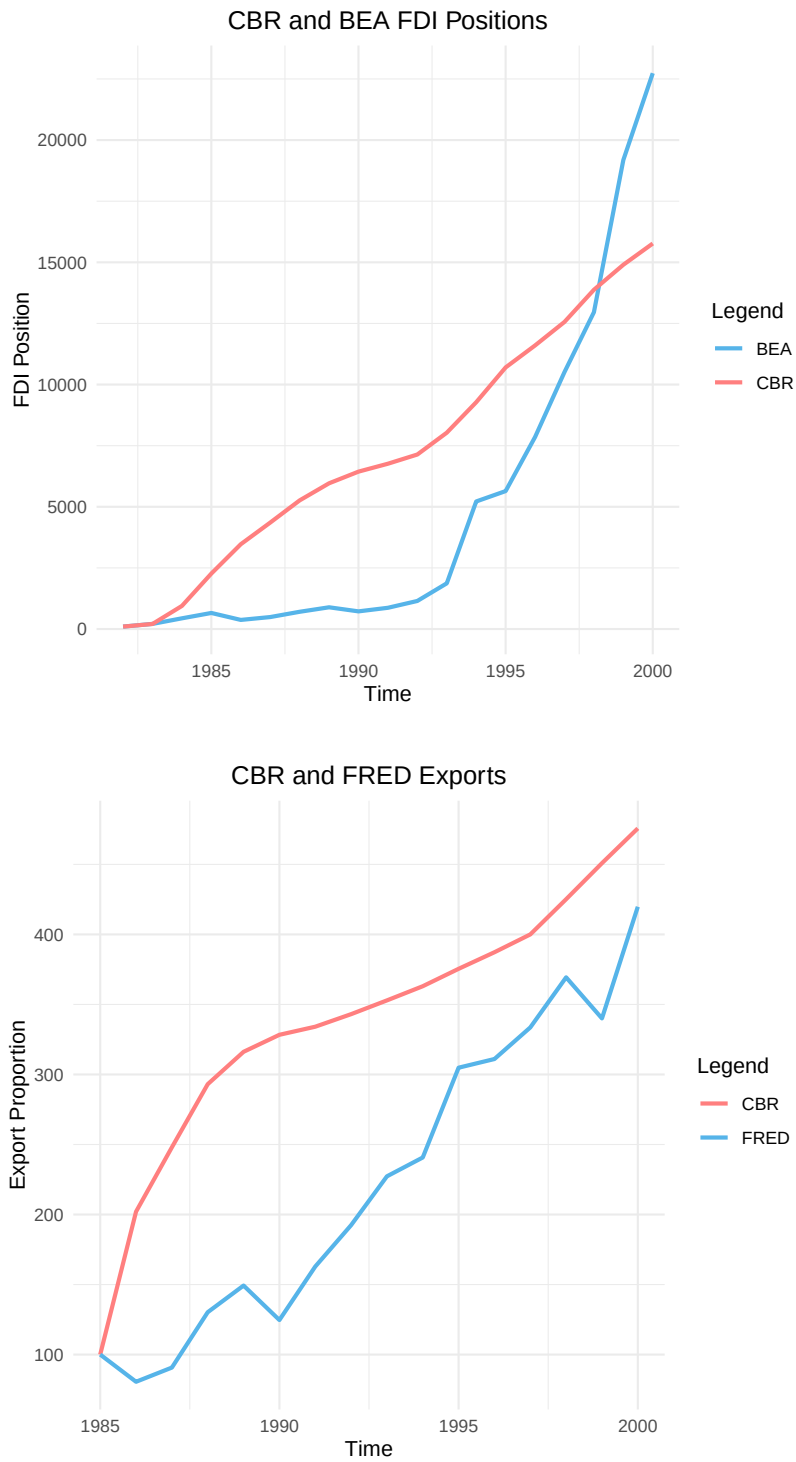
A.1 National-Level Aggregates

We begin by validating our *China Business Review* data at the highest level of aggregation, comparing it to official U.S. national statistics. We use two external data sources to separately validate exports and investments. First, we compare CBR's cumulative deal counts to the yearly dollar value of U.S. investments into China as recorded by the Bureau of Economic Analysis (BEA). We convert the CBR FDI flows into stocks to match the format of the BEA data. Second, we validate CBR export data against the dollar value of export flows provided by the Federal Reserve Economic Database (FRED). To overcome the lack of comparability between dollar values and deal counts, all series are indexed to the earliest common year and compared based off of their proportional growth to the baseline. After indexing, we run a Pearson correlation test on year over year changes while comparing the actual trends over time using Figure A1. The results of the correlation tests can be found in Table A1.

Table A1: Correlation between cumulative CBR deal counts and national aggregate statistics.

Series	Pearson r	95% CI	p -value	N
FDI	0.868	[0.683, 0.948]	<0.001	19
Exports	0.867	[0.650, 0.953]	<0.001	16

Figure A1: Comparison of CBR Trade and FDI with Official U.S. Statistics.



Both correlation tests point to the fact that CBR deals follow the general trend of external FDI and trade data. While the correlation for exports and FDI are strong and statistically significant, we note that because both series are cumulative and upwards-trending, some of this correlation is likely due to cumulative growth over time rather than a highly similar year-to-year trend. We see a more granular comparison of year to year changes through Figure A1. The lack of close correlation is expected due to the limitations on external FDI and trade we previously established¹ Additionally, the differences in the content of the data sources themselves (published deal announcements vs dollar-value stock positions) gives us no reason to expect an exact match. Rather, it points to a positive correlation across two decades and two external datasources, providing a foundational reassurance that the CBR data is not capturing a wildly different pattern of U.S.-China commercial activity.

A.2 Industry-Level Aggregates

Additionally, we analyze our sample of CBR data at the industry level, comparing exports and FDI to external data taken from the U.S. Census Bureau commodity data and the Bureau of Economic Analysis (BEA) FDI positions data. For each, we sort CBR's industry labels and the external industry categories into a common set of groups, total each source by group, convert each to shares of its own total, and compare the shares. Because the CBR data relies on the volume of deals while the external sources record dollar values, we compare relative shares rather than direct value levels. We report a Spearman rank correlation, which captures similarity in the ordering of industries and a Pearson correlation on shares which captures agreement in magnitudes for both external sources (see Table A2).

For exports, we compare CBR export deals to Census Bureau data on U.S. exports to China by Harmonized System (HS) chapter. The Census data begin in 1992, so we

¹See "Data: U.S.-China Commercial Ties" Section.

restrict the comparison to 1992-2000. Both CBR and census data strongly point to "machinery and electrical equipment" and "transportation equipment" as dominating trade. The Spearman rank correlation between the two datasets is moderate while the Pearson correlation is high, but the Pearson value is likely driven by these two large industry groups. The biggest differences between CBR and the external data are within textiles and paper, which account for about 5 and 4 percent of Census dollars but have little or no presence in CBR. This is consistent because bulk commodity trade likely produces fewer announced deals compared to the actual sales of capital goods.

For investment, we compare cumulative CBR FDI deals through 1998 to BEA's direct investment position in China at the end of 1998, so that both measures are stocks. We use 1998 because BEA's industry detail is nearly fully reported that year². We map a CBR label to a BEA industry only when it falls within a single BEA category, such that labels that span categories (for example, telecommunications) and labels describing deal structure rather than industry like joint ventures are excluded. The association is positive but imprecise, which is unsurprising given how relatively few industries can be compared due to merge constraints and that CBR counts deals while BEA measures dollars. CBR gives more weight to industries with many smaller manufacturing deals, such as food and chemicals, and less to capital-intensive industries, such as petroleum, electrical equipment, and finance.

Overall, this analysis shows that the CBR data broadly captures the industry composition of trade and investment during the period under study. Meaning, we can interpret these results as a baseline indication of the validity of our new dataset.

²However, we exclude transportation equipment in this test because BEA data suppression rates were too high for this industry category

Table A2: Correlation between CBR deal counts and external statistics by industry

Comparison	Spearman		Pearson		
	ρ	p -value	r	95% CI	p -value
Exports	0.597	0.053	0.980	[0.922, 0.995]	<0.001
FDI	0.627	0.039	0.629	[0.046, 0.892]	0.038

Table A3: Top industry groups by share of CBR exports and of Census exports.

CBR	Census
1. Machinery and electrical	1. Machinery and electrical
2. Transportation equipment	2. Transportation equipment
3. Chemicals	3. Instruments
4. Instruments	4. Metals and minerals
5. Petroleum	5. Textiles and apparel
6. Metals and minerals	6. Chemicals

Figure A2: Comparison of CBR Exports with External Statistics at the Industry Level

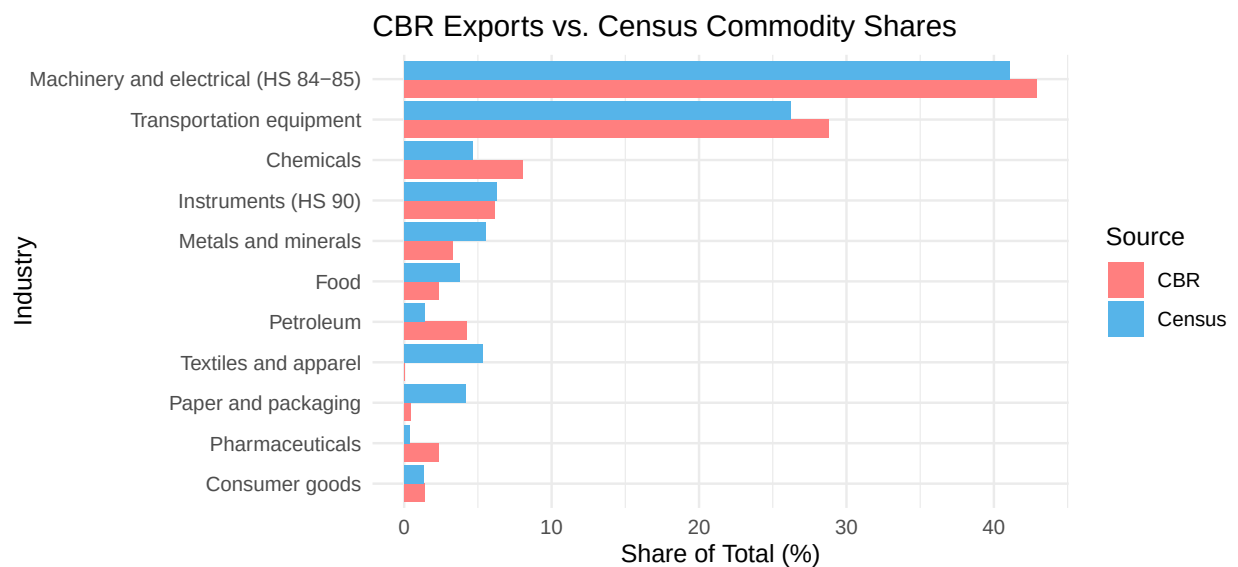
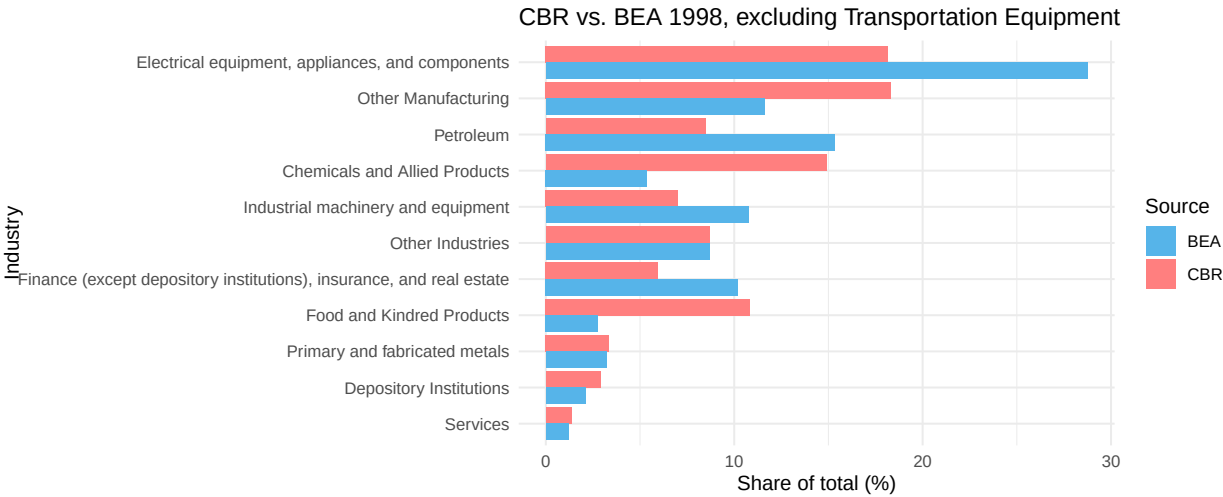


Figure A3: Comparison of CBR FDI with External Statistics at the Industry Level



B Additional descriptives

B.1 Roll call votes used in analysis

Table B4: Roll call votes used in voting analysis.

Bill Num.	Congress	Date	Goal	Outcome
H.J.Res.208	103	1993-07-21	Override China's MFN waiver	Failed
H.J.Res.373	103	1994-08-09	Override China's MFN waiver	Failed
H.J.Res.96	104	1995-07-20	Override China's MFN waiver	Failed
H.J.Res.182	104	1996-06-27	Override China's MFN waiver	Failed
H.J.Res.79	105	1997-06-24	Override China's MFN waiver	Failed
H.J.Res.121	105	1998-07-22	Override China's MFN waiver	Failed
H.J.Res.57	106	1999-07-27	Override China's MFN waiver	Failed
H.R.4444	106	2000-05-24	Authorize Permanent Normal Trade Relations with China	Passed
H.J.Res.103	106	2000-07-18	Remove President's ability to waive MFN restrictions w/r/t China	Failed

All votes were taken in the U.S. House of Representatives. For more information, see Voteview ([Lewis et al., 2026](#)).

C Additional analyses

C.1 Regression table for results in Figure 3

Table C5: Firms with export and investment links to China are more likely to lobby on trade policy in 2000, when PNTR was voted on, relative to other years.

	DV: Trade lobbying reports (ln)
China links $\times$ 2000	0.042** (0.013)
China links $\times$ 2001	0.014 (0.017)
China links $\times$ 2002	0.025 (0.019)
China links $\times$ 2003	-0.014 (0.019)
China links $\times$ 2004	-0.014 (0.020)
Total assets	0.002* (0.001)
Employees	0.000 (0.001)
Num.Obs.	48419
R2	0.821
Firm FE	✓
Year FE	✓
+ p < 0.1, * p < 0.05, ** p < 0.01, *** p < 0.001	

C.2 Disaggregating Table 3 by FDI vs. Exports

Table C6: Table 3, disaggregating investment and export links.

	DV: appeared on PNTR supporter list			
	(1)	(2)	(3)	(4)
China links (FDI)	0.188*** (0.030)	0.190*** (0.031)	0.172*** (0.030)	0.166*** (0.030)
China links (Exports)	0.132*** (0.030)	0.119*** (0.032)	0.107*** (0.031)	0.108*** (0.031)
Total assets			0.001 (0.001)	0.000 (0.001)
Employees			0.017*** (0.004)	0.015*** (0.004)
Foreign subsidiaries				0.009** (0.003)
Num.Obs.	10252	9917	8027	8027
R2	0.208	0.274	0.301	0.304
Industry FE		✓	✓	✓

+ $p < 0.1$, * $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$

All regressors logged or logged plus one.